

Who Is A Real Estate Agent?

 ura.go.ug/en/real-estate-agents-ac/

2 July 2023

This is a person who represents buyers or sellers in the sale and purchase of buildings and land and is licensed by the ministry of lands, housing and urban development. Real estate agents also connect landlords to prospective tenants and vice versa.

All real estate agents in Uganda are required to be registered with;

- Uganda Registration Services Bureau (URSB) for Company registration
- Uganda Revenue Authority (URA) for taxes
- Local council authority e.g. KCCA, municipal council, for a trading license

Please note:

Upon registration, real estate agents are required to comply with the requirements of statutory bodies like;

- Uganda Investment Authority (UIA)
- Ministry of lands, housing and urban development.
- National Environment Management Authority (NEMA)

[Click here](#) for details on requirements for registration

- You're required to visit the URA portal on ura.go.ug
- [Click here](#) to register as an individual
- [Click here](#) to register as a non-individual

In case you cannot register online, visit the nearest URA office for assistance or call the toll-free line **0800117000/0800217000** or WhatsApp: **077214000**

My rights as a taxpayer

Right to equity and fair treatment before the law.

My obligations as a taxpayer

Ensure that you voluntarily register with Uganda Revenue Authority as a taxpayer.

Tax laws and procedures shall be applied consistently to you	File correct tax returns, customs entries or any forms relating to taxes and other revenue.
All your tax affairs shall be handled with impartiality.	Pay the correct tax at the right time and place as required by the relevant laws.
You and your agent(s) shall be presumed honest until proven otherwise.	Be honest when dealing with URA.
Your tax affairs shall be kept secret and tax information in our possession shall be used in accordance with the law.	In handling your tax matters, you and or your appointed agent(s) shall be expected to deal and cooperate only with the Authority's authorized staff.
You and your authorized agent(s) shall be provided with clear, precise and timely information.	Quote your Tax Identification Number (TIN) for all dealings with URA.
You shall always pay the correct tax.	Do not involve yourself in any form of tax evasion and other illegal practices.
You will receive courteous and professional services at all times	When you are importing or exporting cargo, employ services of a licensed customs agent to complete customs entries and related clearance formalities.
You will receive timely, clear and accurate responses to your enquiries, complaints and requests	Make full disclosure of information and correct declaration of all transactions at all times.
You will be availed with reasons for any decision taken.	Let URA know if you need an interpreter.
You shall be sensitized about your tax obligations	Beware of and comply with customs quarantine, wildlife, currency and passenger concession.

Your tax objections shall be attended to in accordance with the relevant laws & procedures.	When you are travelling, ensure that you have accurately completed all the necessary forms before you reach the arrival/departure processing point.
You shall be facilitated to exercise your right (s) of appeal both within the organization and to an independent tax tribunal in accordance with the law.	Declare your goods on arrival and have them ready for inspection
You shall be given prior notice whenever your premise(s) are to be subjected to routine inspection or if an audit is to be conducted.	Treat URA staff fairly and with respect

NON- INDIVIDUAL INCOME TAX

The income tax rate for a company is 30% of the entity's chargeable income (gross income less allowable deductions).

INDIVIDUAL INCOME TAX

The income tax rate for individuals depends on the income bracket in which the individual falls.

Rate of tax for Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
0 to 2,820,000	Nil
2,820,000 to 4,020,000	$(CY - 2,820,000UGX) \times 10\%$
4,020,000 to 4,920,000	$(CY - 4,020,000UGX) \times 20\% + 120,000UGX$
4,920,000 to 120,000,000	$(CY - 4,920,000UGX) \times 30\% + 300,000UGX$
Above 120,000,000	$[(CY - 4,920,000UGX) \times 30\% + 300,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

Rate of tax for Non-Resident individuals

ANNUAL CHARGEABLE INCOME (CY) IN UGX	RATE OF TAX
0 to 4,020,000	$CY \times 10\%$
4,020,000 to 4,920,000	$(CY - 4,020,000UGX) \times 20\% + 402,000UGX$
4,920,000 to 120,000,000	$(CY - 4,920,000UGX) \times 30\% + 582,000UGX$
Above 120,000,000	$[(CY - 4,920,000UGX) \times 30\% + 582,000UGX] + [(CY - 120,000,000UGX) \times 10\%]$

WITHHOLDING TAX

Withholding tax (WHT) is income tax that is withheld at source by one person (withholding agent) upon making payment to another person (payee).

Please note

The tax withheld is credited/ reduced on the tax payable in the final income tax return.

[Click here](#) for information on Withholding tax.

ucoro me '*PAYE*'

A resident person who pays management or professional fees to a resident real estate agent is required to withhold tax at a rate of 6% of the gross amount of the payment.

PAY AS YOU EARN (PAYE)

Any real estate agent/ agency with workers/employees earning a monthly salary more than 235,000 per month is required to register for Pay as You Earn (PAYE), withhold and remit tax to URA.

[Click here](#) for the PAYE rates

[Click here](#) for information on how to file your returns.

After filing a return, you're required to pay taxes due using available payment platforms e.g. banks, mobile money, VISA, Mastercard etc.

Please note: the due date for payment of tax is the same as that of return filing.

[Click here](#) to register a payment

Yes. There are incentives available for real estate agents- both local and foreign and they include:

Tax incentives under Domestic Taxes

EXCISE DUTY

Beneficiary	Incentives	Period of Incentive	Conditions for the Tax Incentive
Developer of an industrial park/free zone	Exemption of income derived from renting out or leasing facilities established in an industrial park or free zone.	10 years	Must invest a minimum of USD 50m for foreign investors or USD 10m for EAC citizens, Incentive takes effect from the date of commencement of construction. Also applies to an existing investor making an additional investment of the same value.

Collective Investment Schemes to the extent of distribution.	Income tax exemption for Collective Investment Schemes	Indefinite	Must be licensed to operate as a collective investment scheme. Participants in the scheme should not have day to day control over the management of the property. Participants contributions and ultimate income/ profits must be pooled Property must be managed as a whole by the operator of the scheme
Private employers of persons with disabilities (PWDs)	Deduction of 2% Income tax for employers that employ PWDs	Indefinite	5% of employees must be PWDs
Compliant taxpayers	6% WHT exemption on payment for goods and services and professional fees	12 months renewable	Where the Commissioner is satisfied that the taxpayer has regularly complied with the obligations under the tax laws
All taxpayers	100% deduction of Scientific research expenditure	Indefinite	A person who incurs expenditure for scientific research

All taxpayers	Initial allowance and Depreciation allowance: Initial Allowance – capital deduction of 50% of qualifying Plant & machinery and 20% on Industrial building placed in the radius of 50Km outside the boundaries of Kampala. Person who places depreciable assets in service e.g. computers, automobiles, specialized trucks, tractors, plant and machinery used in farming, manufacturing or mining operations, trailers and trailer mounted containers; and Industrial building deduction of 5% on cost of construction straight line method for 20 years.	Indefinite	All taxpayers with depreciable assets
All taxpayers	Carry forward losses: Assessed loss is carried forward as a deduction in the following year of income.	Duration of the loss	All taxpayers

Investor established in a country with which Uganda has a DTA	Double Taxation Agreements (DTA): Investors from countries with active DTA's with Uganda i.e. United Kingdom, Denmark, Norway, South Africa, India, Italy, Netherlands and Mauritius Withholding tax rates applicable to dividends, interests, management fees and royalties are 10% except UK at 15%	Duration of the DTA	Beneficial owner of investment as defined in the Income Tax Act established with economic substance in a country with which Uganda has a DTA.
---	---	---------------------	---

VAT ACT

Beneficiary	Incentives	Period of Incentive	Conditions for the Tax incentive
Developer of an industrial park or free zone	No VAT on any payment for feasibility studies, design construction services, construction materials and earth moving equipment and machinery.	Duration of the development	The investment must be at least USD 50m. The development must be for an industrial park or free zone.
VAT Registered taxpayers	VAT registered persons claim all the VAT incurred.	Indefinite	Turnover of UGX 150m in any 12-month period for first time registration, ability to keep proper books of accounts and making taxable supplies.

STAMP DUTY ACT

Beneficiary	Incentives	Period of Incentive	Tax incentive
-------------	------------	---------------------	---------------

Developer of an industrial park/free zone	No Stamp duty on debentures, lease of land, Increase of share capital, transfer of land.	Duration of development	Must invest a minimum of USD 50m and incentive takes effect from the date of commencement of construction.
Loan applicants	NIL stamp duty on an agreement relating to the deposit of title-deeds, pawn pledge-of the total value.	Indefinite	Agreement relating to the deposit of title-deeds, pawn pledge-of the total value.
Loan applicants	NIL stamp duty on security bond or mortgage deed.	Indefinite	Security bond or mortgage deed executed by way of security for the due execution of an office, or to account for money or other property received by virtue of security bond or mortgage deed executed by a surety to secure a loan or credit facility-of entry value.